Why Owners Spent Billions on Amenities, Services and Improvements
The New Arms Race in Commercial Real Estate

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For decades, commercial property owners invested in predictable ways to keep buildings competitive: refreshed lobbies, upgraded finishes, better lighting, and cleaner common areas. These improvements mattered—but they were incremental.

Then something changed.

Over the last twenty years, landlords began pouring **billions of dollars** into tenant amenities and experiences that went far beyond aesthetics. Fitness centers replaced storage rooms. Coffee bars appeared where security desks once stood. Rooftops became destinations. Concierge services, wellness programming, and flexible spaces became standard expectations rather than premium extras.
This wasn't a cosmetic shift. It was a fundamental change in how owners viewed the role of office space—and why tenants choose it at all.

To understand how we arrived here, we have to look beyond real estate and into the evolution of work itself.

The Roots of the Amenity Mindset
While the modern amenity boom accelerated in the last two decades, its philosophy stretches back much further.

In the late 19th and early 20th centuries, companies like **Pullman Palace Car Company**, **Cadbury**, **Hershey**, and **Ford Motor Company** built entire company towns. Housing, schools, stores, and recreation were provided as part of employment. The motivation was mixed—part genuine care, part control—but the precedent was set: employers could influence productivity and loyalty by shaping life beyond the factory floor.

By the mid-20th century, that idea evolved. Companies such as **Hewlett-Packard**, **IBM**, and **Johnson & Johnson** reframed the concept around trust, culture, and respect. Open offices, profit-sharing, flexible schedules, and strong benefits programs reinforced a growing belief that employee satisfaction and business performance were linked.

Still, the office remained primarily a place to work — not a destination.

That distinction disappeared in the 1990s.

The Dot-Com Era: When the Office Became a Lifestyle
The dot-com boom didn't invent workplace amenities, but it **supercharged them**.

Startups competing for scarce technical talent couldn't match established firms on salary or stability. Instead, they offered something radically different: an office environment that blurred the line between work and life. If employees were going to work extreme hours, the office would provide everything they needed—meals, fitness, socialization, even basic errands.

This was the true beginning of the amenity arms race.

Few companies embodied this shift more effectively than **Google**. Google didn't just offer perks; it systematized them. Free chef-prepared meals, micro-kitchens stocked around the clock, on-site healthcare, laundry services, fitness facilities, nap pods, and unconventional workspaces weren't

indulgences—they were strategic tools. The goal was simple: remove friction, foster collaboration, and keep people engaged.

Others followed quickly.
Facebook (now Meta) built sprawling campuses that functioned like self-contained cities. **Twitter** redefined the urban headquarters with wellness floors and iconic rooftop spaces. Earlier visionaries like **Pixar**, under Steve Jobs, designed offices to force chance encounters and creative collision. Even **Microsoft** shaped expectations through wealth-building incentives like stock options, tying personal upside directly to company success.

The message was clear: environment mattered — and it could be engineered.

How Amenities Moved From Companies to Buildings
What began as a corporate strategy soon reshaped the real estate market.

As tech companies expanded, landlords realized they weren't just leasing square footage anymore. They were competing — often indirectly — with the workplace experiences tenants could create themselves. Class A buildings began adopting hospitality-grade lobbies, shared conference centers, fitness amenities, and social spaces not because they were trendy, but because they were necessary to attract and retain high-quality tenants.

Over time, this logic extended well beyond the tech sector. Professional services firms, financial institutions, and even traditional corporate users began expecting more from their buildings. The office was no longer evaluated solely on efficiency or location. It was judged on experience.
Then coworking accelerated everything.

Coworking: The External Pressure Owners Couldn't Ignore
Coworking began quietly in 2005 as a flexible alternative for freelancers and startups. For years, it remained a niche product.

That changed with the rise of **WeWork**.

Beginning around 2010, WeWork reframed office space as a consumer lifestyle brand. By the mid-2010s, it had become one of the largest office tenants in major global markets. Its spaces emphasized design, community, flexibility, and experience—beer taps, wellness rooms, events, concierge services, and short-term commitments were baked into the offering.

The impact on traditional landlords was immediate and lasting.

Tenants began expecting shared lounges, collaboration areas, food options, and wellness features as baseline offerings. Demand for flexible lease terms grew, driving the rise of spec suites and landlord-controlled flexible space. Coworking operators marketed directly to tenants like consumer brands, forcing owners to rethink how buildings were positioned and promoted. Property management evolved toward hospitality, with programming, events, and service playing a much larger role.

Coworking didn't just create competition, it reshaped expectations for the entire office market. Tenants now look for experience-driven workplaces. Places they want to be, not just space to lease. Just as importantly, coworking accelerated the *pace* of change. Amenities, design, and services began aging faster as new, highly curated environments entered the market. That pressure continues to drive how owners design, market, manage — and regularly reinvest in — office buildings today.

Institutional Owners Go a Step Further
Including Regional and Public REITs
As amenity expectations escalated, large institutional owners realized that competing building by building wasn't enough. Experience had to scale across portfolios. The response was the creation of branded,

proprietary tenant experience programs that operate more like platforms than property-management add-ons.

Global owners such as **Tishman Speyer**, **Hines**, **Brookfield Properties**, **RXR**, and **Kilroy Realty** institutionalized tenant engagement through portfolio-wide programs that combine amenities, services, digital access, and curated programming. These platforms allow tenants to experience consistency across cities while giving owners data, engagement, and brand differentiation at scale.

While this shift is global, it is equally evident at the regional level. Given our roots in Georgia and the Southeast, we've intentionally focused on owners operating in this market to illustrate how these strategies are being applied closer to home.

CP Group has developed a **Premier Tenant Experience** program overseen by dedicated Tenant Experience Managers, alongside **worCPlaces**, a branded flexible office and amenity offering designed to meet demand for shorter-term space and shared services. While some market references cite "CPlace," CP Group's approach emphasizes service delivery and flexibility rather than a single consumer-facing brand.

Highwoods Properties takes a system-based approach rather than an umbrella brand. Its tenant experience is delivered through multiple coordinated platforms, including its High-Touch Experience service philosophy, Prism Services tenant portal, SmartPark™ parking access and validation, and VersaPay for online payments. Together, these tools create a consistent experience across assets while allowing flexibility at the building level.

Piedmont Office Realty Trust has formalized its approach through **PLACEs**, a branded placemaking and tenant environment strategy focused on creating intentional spaces where tenants collaborate, connect, and return—reinforcing the idea that experience is central to asset value.

Cousins Properties has not publicly marketed a single portfolio-wide experience brand, but still delivers tenant engagement through market- and building-specific customer portals, electronic tenant platforms, and centralized login systems. Even without consumer-style branding, the operational shift toward service, access, and engagement mirrors the broader industry trend.

The takeaway is clear: regardless of size or geography, owners are no longer competing solely on physical improvements. They are competing on **experience delivery**, supported by people, platforms, and programming.

The Hottest Amenities Shaping U.S. Office Buildings Today

As competition to bring employees back to the office intensifies, landlords are prioritizing amenities that directly support wellbeing, flexibility, and daily convenience. While offerings vary by market and asset type, several categories consistently rise to the top across Class A and high-performing Class B properties.

On-site fitness and wellness facilities remain among the most sought-after features. Expanded fitness centers, yoga studios, meditation rooms, and wellness hubs allow tenants to support employee health without asking people to sacrifice additional time outside the workday.

Food and beverage have also evolved far beyond the traditional cafeteria. Today's buildings feature specialty coffee shops, cafés, food halls, curated food trucks, healthy snack programs, and in some cases chef-driven dining concepts that make the office feel more like a destination.

Outdoor and social spaces have become essential rather than optional. Rooftop decks, landscaped terraces, courtyards, and plazas give employees places to relax, collaborate, or work outdoors — an amenity category that accelerated dramatically after COVID.

Flexible collaboration and meeting spaces continue to grow in importance. Shared conference centers, coworking hubs, phone booths, project rooms, and brainstorming zones give tenants room to adapt as team sizes and work patterns change.

Technology and connectivity now underpin nearly every amenity strategy. High-speed Wi-Fi, smart building systems, app-based booking, touchless access, and integrated tenant engagement platforms remove friction and reinforce the perception of a modern workplace.

Tenant services and concierge-style offerings are increasingly common. Package handling, dry cleaning partnerships, pantry services, and lifestyle support reduce daily distractions and make the office easier to navigate.

Family-friendly amenities are gaining traction in select markets, with on-site or nearby childcare emerging as a meaningful differentiator for tenants focused on retention.

Mobility features also play a growing role. EV charging, bike storage, end-of-trip facilities, commuter shuttles, and transit-oriented access help address how employees actually get to work.

Retail and convenience offerings — such as dry cleaners, salons, banking, and convenience retail — further reinforce the idea of the office as an ecosystem rather than a single-use building.

Finally, wellness-driven design has become foundational. Biophilic elements, natural light, improved air quality, ergonomic furniture, quiet rooms, and restorative lounges support employee wellbeing in subtle but powerful ways.

Some owners are pushing even further, experimenting with experiential amenities like gaming lounges, spa-style recovery rooms, podcast studios, art installations, and curated social hubs. These features signal a broader shift: offices are no longer just places to work, but environments designed to attract, engage, and retain people.

Why the Amenity Arms Race Never Ends: Lifespan, Reinvestment, and Class A Reality

One of the least discussed, but most important drivers of amenity investment is timing. Amenities don't just compete with other buildings; they compete with **newly delivered product**. And design expectations age faster than physical materials.

Historically, after major market downturns, limited new development gave owners more time to retrofit and reposition assets gradually. Today's environment is different. With more Class A deliveries entering the market, owners are forced to reinvest more frequently and more aggressively just to maintain competitive positioning.

Across U.S. markets, the most common full common-area reinvestment cycle for Class A office buildings falls between **seven and ten years**, with targeted refreshes occurring every three to five years in between.

Lobbies and building entries may function for 12 to 15 years, but their market relevance often expires in seven to ten. Minor refreshes typically occur around year five, with full repositioning required when competing directly with new construction.

Fitness and wellness centers turn over even faster. Equipment, layouts, and hygiene expectations drive refresh cycles closer to five to seven years, making these spaces among the most capital-intensive amenities to maintain.

Parking structures last decades structurally, but finishes, lighting, access systems, security, and EV infrastructure require reinvestment every five to ten years. Because parking is a daily tenant touchpoint, outdated systems quickly erode perception.

Lighting upgrades — particularly LED and smart systems — offer one of the fastest ways to modernize a building. While fixtures may last longer, controls and aesthetics typically demand updates every five to seven years, often bundled into broader capital projects.

Common-area restrooms remain one of the highest-impact upgrades per dollar. While finishes may last over a decade, touchless technology, cleanliness expectations, and code requirements often push refresh cycles into the seven- to ten-year range.

In practice, owners rarely wait for assets to feel obsolete. Most follow a rolling capital strategy: a major repositioning, followed by cosmetic and technology refreshes at three- to five-year intervals, and full common-area reinvestment before the building visibly falls behind.

The underlying mindset is simple: if a property feels dated compared to what just delivered down the street, it no longer reads as Class A — regardless of lease rates or location.

The Real "Why" Behind the Spend
While the amenities may look flashy, the motivation behind them is pragmatic. At its core, this evolution has always been about people.

First, it was about recruitment and retention — winning the war for talent. Then it became about productivity and collaboration, designing environments that sparked interaction and innovation. Today, the emphasis has expanded to wellbeing, balance, and purpose, responding to burnout, hybrid work, and changing expectations about how work fits into life.

In a post-pandemic world, the office must justify itself. Amenities, services, and experiences now serve a single, unifying goal: making the office a place people *want* to be, not just somewhere they're required to go.

The Bottom Line
The amenity arms race didn't start with landlords. It won't end with them.

What began as a battle for tech talent evolved into a coworking-driven disruption and ultimately reshaped the entire commercial office market. Today's tenants don't just lease space. They evaluate experience, culture, service, and support.

For owners, investors, and operators, the lesson is clear: buildings compete on more than location and rent. They compete on relevance—and relevance has a shelf life. Staying competitive now requires ongoing reinvestment, not one-time upgrades, as expectations reset every time new Class A product delivers.

Amenities are no longer optional, experimental, or temporary. They are a permanent part of how offices are designed, branded, financed, and operated. And the arms race continues—not because owners want it to, but because the market demands it.

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